

companies are importing," says Gulati.

Among other hurdles are the poor infrastructure, lack of trained manpower and poor logistics. The skillset of technicians has to be very strong as the equipment for any high-end component are usually imported.

"If an equipment breaks down, you can't have the engineers flying down from Japan, Korea or Europe the next day. Till that time, the manufacturing capacity will sit idle. So the technicians have to be well trained to be able to repair and maintain the equipment. Also, most companies buy only second-hand equipment (as it's quite expensive to buy a new equipment), which makes maintenance much more difficult," explains Gulati.

The amount of energy saving with LED lighting is going to be immense. But hardly any LED light manufacturing is happening in India. Most LED tubelights or streetlights are being brought from China and sold in India.

"The government is not at all encouraging LED manufacturing in India. It should have said that it wants to change all the streetlights to LED lighting and will buy only from manufacturers in India and not from traders in China. The government officials should visit and audit the facilities of a manufacturer before giving it the order. They just float a tender and somebody brings them the products from China," says Gulati.

Impact of new policy

"The manufacturing policy initiated by the government is a big step forward but it doesn't address the 'resource' issue. The financial resources and technology base are critical for any future growth. Electronic components manufacturing should be treated like infrastructural sector and should be given much bigger incentives. As everybody is aware, the investment required for creating a component base is huge and the returns are not immediate. The whole funding of the electronic components manufacturing sector has to be taken on a different base and special guidelines provided

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to the banking sector," says Raj Kapur, chief operating officer, JCT Electronics.

"The policy, if properly implemented, can go a long way in improving the situation. Now with China having problems of availability of power and manpower, and also increasing labour rates, it is the ideal time for India to become the components manufacturing factory for the world," adds Anil Bali, vice president, Deki Electronics.

Other catalysts

The most important catalyst required is public-private partnership, because the public sector *per se* cannot visualise the future needs of the private sector and that of the consumer.

"Public-private and foreign part-

nership would be the ideal model and a suitable mechanism has to be devised for each stakeholder having enough stake/return on the investments made. The policy on this has to be clear and long-term as the return on investments has to be assessed on a fairly long-term basis. Besides, immediate commercial viability is not possible as the gestation periods are long," says Kapur.

Involving the universities and top technology institutions of the country will give a boost to research and technology.

"It is not necessary to put up separate R&D facilities or institutions but the existing IITs, Indian Institute of Sciences and other engineering and science colleges should be encouraged and provided with funds and targets for delivering innovative products. While saying so, it does not necessarily mean (we need) to bring new machines or technologies to the market. The first step is to improve the technologies which are available and make them more user-centric, keeping in view the Indian demographics, particularly the level of education and needs of the rural sector," suggests Kapur.

Promising areas

If there is a conviction, our component sector can rise to the occasion—believes Kapur.

Semiconductor is the backbone for all the electronics manufacturing for the future and this should get top priority. Other than that, products that are highly expensive and extremely sophisticated need to be re-engineered to make them simpler and easier to use. This will bring electromedical equipment and education support implements within the reach of the masses by promoting the use of technology.

Basically, investment is required in all the products required for boosting education, providing healthcare services and improving the transmission of information for better handling of markets, particularly in the rural sector. ●

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